

CH. 17

Multinational
Business Finance

Foreign Direct Investment and Political Risk

Why multinationals invest abroad — and how they manage the political risks that come with it

01

Competitive
Advantage & OLI

02

Where & How
to Invest

03

Defining
Political Risk

04

Managing
Political Risk

How This Chapter Is Organized

Two big questions drive this chapter: should a firm invest abroad at all — and once it does, how does it manage the political risk that comes with operating in someone else's country?

01

Competitive Advantage & the OLI Paradigm

Why a firm invests abroad at all, and the framework (O-L-I) that explains the choice.

02

Where & How to Invest

Picking a country, then choosing a mode of entry — from exporting to a wholly owned subsidiary.

03

Defining Political Risk

Classifying risk as firm-specific, country-specific, or global-specific, and how it's assessed.

04

Managing Political Risk

Governance, investment agreements, insurance, and strategies once the investment is made.

LEARNING OBJECTIVES

By the End of This Chapter, You Should Be Able To...

1

Demonstrate how key competitive advantages support a strategy to sustain direct foreign investment

2

Show how the OLI Paradigm provides a theoretical foundation for the globalization process

3

Explore the motivations and factors that determine where multinationals invest abroad

4

Compare and contrast the modes of foreign investment

5

Illustrate the new forces driving corporate competition in emerging markets

6

Evaluate the various factors that may be used to predict when and where political risks will arise

7

Describe the forms of transfer risk and how multinationals may mitigate these blockages

8

Learn how to evaluate the cultural and institutional factors often leading to firm-specific political risk

9

Examine the unique complexities of global-specific risk

Porter's Diamond: The Competitive Advantage of Nations

- A firm's competitiveness is often rooted in having competed in a highly competitive home market
- Four interacting determinants explain this: factor conditions, demand conditions, related & supporting industries, and firm strategy/structure/rivalry
- In practice: apply the Diamond to any home-country industry to see whether its firms are likely to carry a real advantage abroad

A firm's competitiveness can be significantly strengthened based on its having competed in a highly competitive home market. Home country competitive advantage must be based on at least one of four critical components.



Source: Based on concepts described by Michael Porter in "The Competitive Advantage of Nations," *Harvard Business Review*, March–April 1990.

PART 1

Competitive Advantage & the OLI Paradigm

The guiding question: why would a firm invest abroad at all, instead of simply exporting from home?

IN THIS PART

- What kind of competitive advantage justifies going abroad — and where it comes from
- The OLI Paradigm: Ownership, Location, Internalization
- Proactive vs. reactive financial strategies for FDI

FOUNDATIONS

Sustaining and Transferring Competitive Advantage

Before investing abroad, a firm must have a competitive advantage that is firm-specific, transferable, and strong enough to offset the extra risks of operating overseas. It typically comes from one of six sources:

Economies of Scale & Scope

- Production, marketing, finance, R&D, transport, purchasing
- Driven by large size from international and/or domestic operations

Managerial & Marketing Expertise

- Skill managing large organizations: human capital and technology
- Modern analytical techniques applied across business functions

Advanced Technology

- Scientific and engineering skill
- Often the hardest advantage for rivals to copy

Financial Strength

- Global cost and availability of capital
- The critical variable that funds FDI in the first place

Differentiated Products

- Built through R&D-based innovation or heavy marketing spend
- Creates brand identity that travels across borders

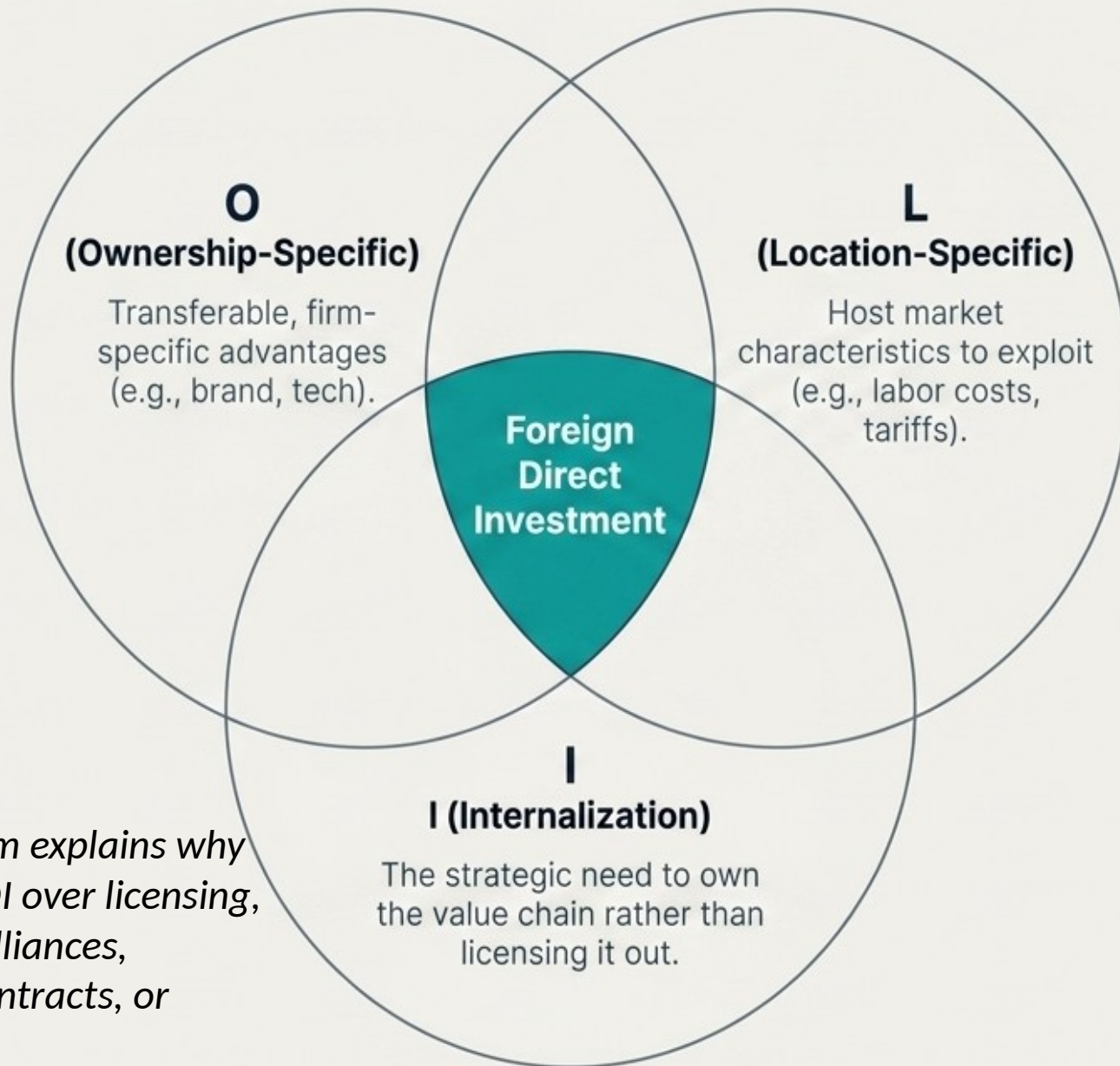
Competitiveness of the Home Market

- A tough home market sharpens advantage vs. firms from weaker markets
- Known as the “competitive advantage of nations” — see Porter’s Diamond, next

Example: a global electronics firm's scale and proprietary technology travel abroad easily; a seafood exporter's advantage — local fresh supply — usually does not.

The OLI Justification Filter

The OLI Paradigm



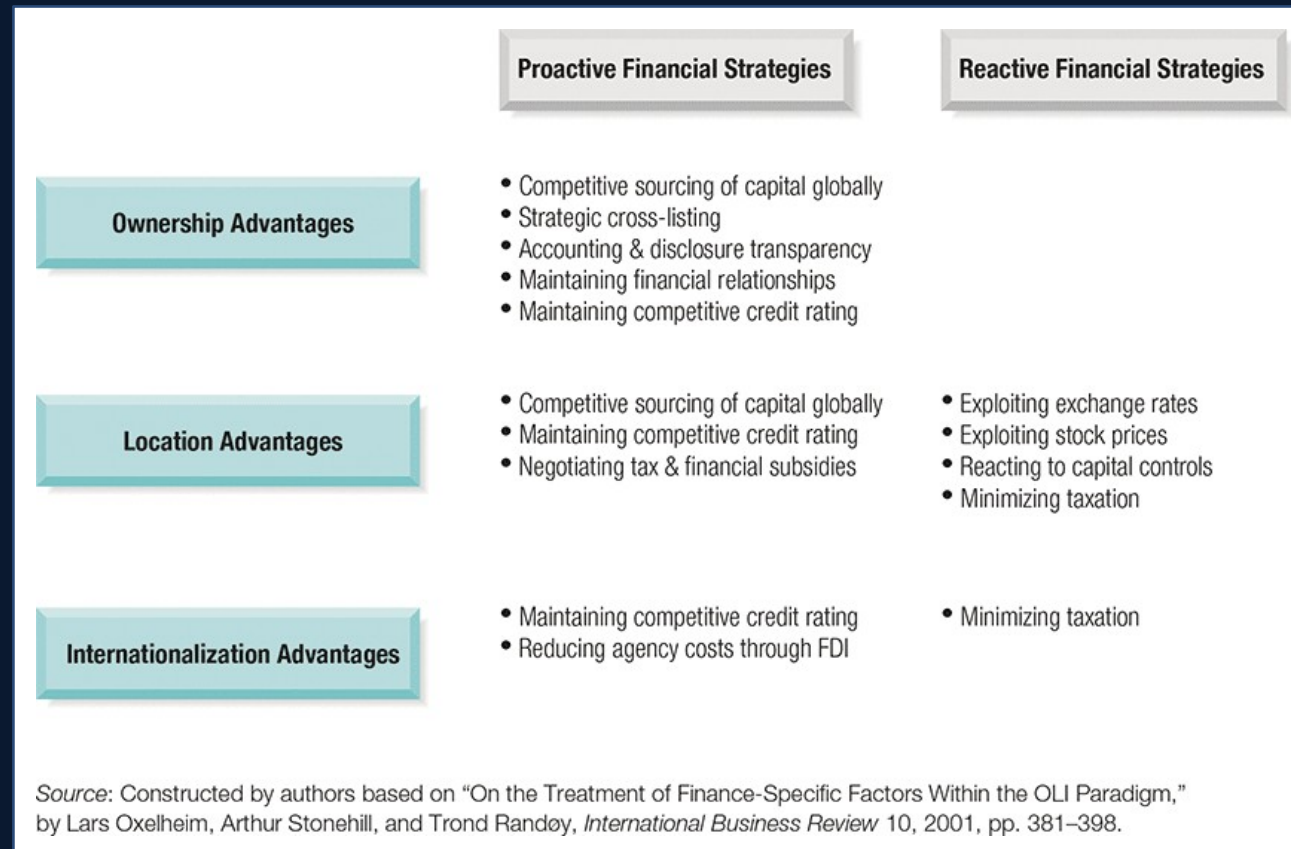
The Rule of Thumb

- Strong 'O' but no 'L'? Export or license.
- FDI requires passing through all three strategic gates simultaneously.

The OLI Paradigm explains why MNEs choose FDI over licensing, joint ventures, alliances, management contracts, or exporting.

Proactive vs. Reactive Financial Strategies & the OLI Link

- Proactive strategies seek advantage directly: competitive sourcing of capital, strategic cross-listing, disclosure transparency, tax/financial subsidies, and reducing agency costs through FDI
- Reactive strategies respond to market imperfections as they appear: exploiting exchange rates and stock prices, reacting to capital controls, minimizing taxation
- Exhibit 17.2 maps both strategy types onto the OLI framework — ownership, location, and internalization advantages each pull on different levers



PART 2

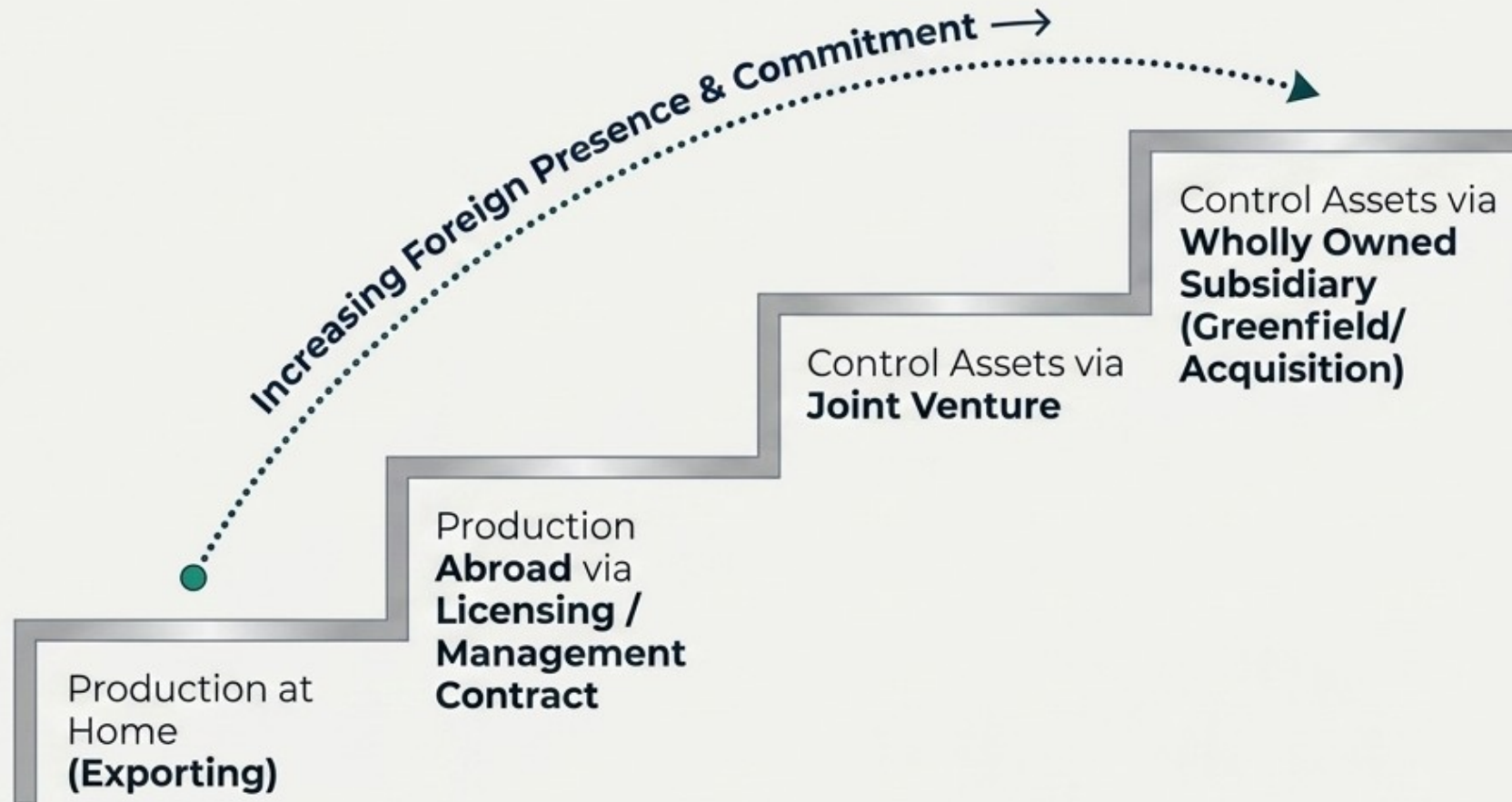
Where and How to Invest

Once a firm decides to invest abroad, two decisions follow: which country, and through which mode of entry?

IN THIS PART

- Behavioral factors in deciding where to invest, and the FDI sequence
- The five modes of foreign involvement, from exporting to full ownership
- The three strategic trade-offs global challengers face

The Behavioral Escalation of Global Investment



Insight Panel

While economic theory suggests a simultaneous global search for optimal risk-adjusted returns, reality dictates a sequential, step-by-step escalation of capital and commitment as managers learn to navigate foreign waters.

The Entry Mode Continuum: Mapping Risk Against Control



ENTRY MODES IN DETAIL

Comparing the Five Modes — Plus Strategic Alliances

The same five modes, side by side, with the trade-off that matters most for each.

Mode	How It Works	Key Advantage	Main Risk / Trade-off
Exporting	Serve the foreign market by shipping product from home	Lowest front-end investment; minimal political risk exposure	Losing markets to local imitators and global competitors
Licensing	License technology or brand to a local firm for a fee	Profit abroad without a large capital commitment	Fees below FDI profits; lost quality control; technology theft; may create a future competitor; high agency costs
Management Contracts	Manage foreign operations for a fee, with minimal investment	Cash flow from abroad; easy to repatriate managers, which lessens political risk	Limited upside — no equity stake in the business
Joint Venture	Share ownership of a foreign business with a local partner	Local customs/contacts, mid-level management, access where 100% ownership isn't allowed	Partner conflict; disputes over dividends vs. reinvestment; transfer pricing; disclosure rules
Wholly Owned Subsidiary	Full ownership and control of the foreign operation	Complete control over strategy, technology, and profits	Highest capital commitment and highest political-risk exposure
Strategic Alliance	Firms exchange ownership stakes and/or cooperate on marketing/servicing — no single standard form	Flexible cooperation without full commitment	Loosely defined structure can leave responsibilities and control unclear

Example: a firm facing a 49% foreign-ownership cap can't use a wholly owned subsidiary — a joint venture becomes the compliant option that still brings local regulatory insight.

The Three Trade-Offs

Firms competing as “global challengers” in emerging markets constantly balance three tensions — and few can optimize all three at once:

- **Volume versus Margin**

chasing market share can mean sacrificing per-unit profitability

- **Rapid Expansion versus Low Leverage**

growing fast often means financing with more debt

- **Growth versus Dividends**

reinvesting cash for growth competes directly with paying it out

Discuss: is there a sequencing — e.g., volume first, margin later — that resolves this tension over time rather than all at once? Analysts differ: some see these three factors as causal, others as simply simultaneous.

PART 3

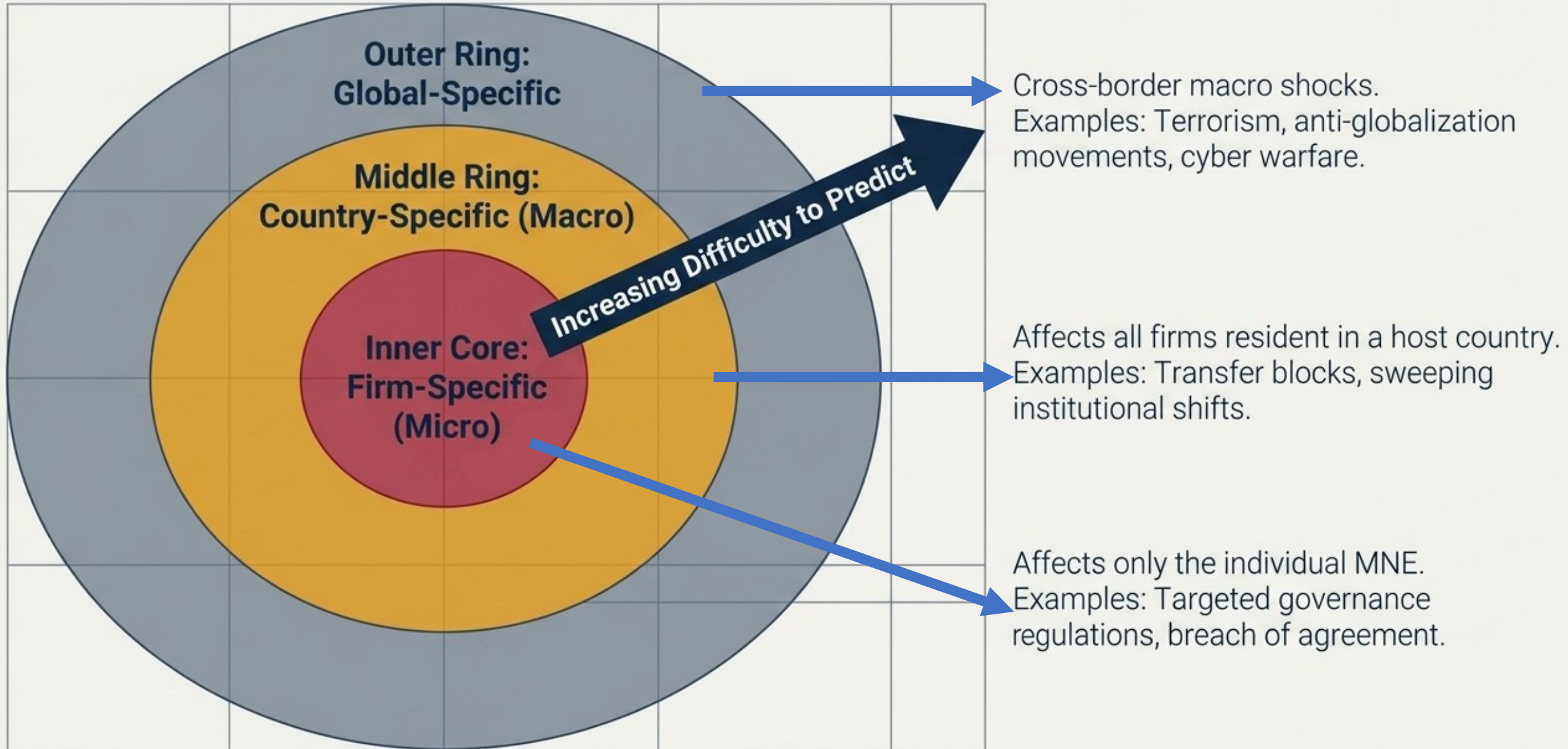
Defining Political Risk

Every mode of foreign involvement carries some exposure to the host country's politics. Before you can manage that risk, you have to classify it.

IN THIS PART

- The three categories: firm-specific, country-specific, global-specific
- How firms assess risk at the macro and micro level
- Why predicting each category of risk gets progressively harder

The Expanding Radar of Political Risk



Assessing and Predicting Political Risk

Assessing Risk

- Macro level: before FDI, firms assess a host country's political stability and general attitude toward foreign investors
- Micro level: firms analyze whether their own firm-specific activities are likely to conflict with host-country goals, as shown by existing regulation

Predicting Risk

- Firm-specific: different foreign firms in the same country can have very different vulnerability to policy or regulatory change
- Country-specific: political risk analysis is still an emerging field, though firms must attempt it regardless
- Global-specific: the hardest of the three to predict, though new indices are likely to help

Classify the risk: (A) a host government tightens profit-repatriation rules for all foreign firms, (B) a regional conflict disrupts global shipping, (C) a competitor's factory is targeted over labor practices. Which is firm-, country-, and global-specific?

PART 4

Managing Political Risk

Classifying risk is only step one. This part covers what firms actually do about it — before, during, and after the investment.

IN THIS PART

- Firm-specific: governance risk, investment agreements, and insurance
- Country-specific: transfer risk, blocked funds, cultural and institutional risk
- Global-specific risk and a real case: Apache Corporation

SYSTEMIC GLOBAL THREATS & SUDDEN VALUE DESTRUCTION

THE GLOBAL THREAT MATRIX

- **Terrorism and War**
(Supply chain disruption)
- **Antiglobalization Movements**
(Trade barriers)
- **Environmental Concerns**
(Uneven pollution controls)
- **Cyber Attacks**
(Information system vulnerabilities)

REAL-WORLD IMPACT CASE



CORE INSIGHT

A localized global-specific event wiped out \$4.6 Billion — 10% of the company's total market value — in just 11 days.

Defending the Core: Neutralizing Firm-Specific Threats

Pre-Investment Legal Architecture

Governance & Agreements

The imperative to negotiate operational understandings upfront before the host government gains leverage.

Post-Investment Adjustments

Limiting local tech transfer, utilizing multiple-source borrowing, and maintaining a thin equity base (high debt) to reduce exposure.

Post-Investment Insurance Shields



Governance Risk and Investment Agreements

Governance Risk

- The ability to exercise effective control over an MNE's operations within a host country's legal and political environment
- Conflicts have historically arisen over economic development, the environment, export markets, and the balance of payments
- Best approach: anticipate problems and negotiate understandings ahead of time

Investment Agreements

- Spells out the specific rights and responsibilities of both the foreign firm and the host government
- The MNE's presence is often actively sought by development-seeking host governments — it isn't one-sided
- A good agreement defines policy on financial and managerial issues up front — though conditions and agreements often get revised later

Investment Insurance and Guarantees: OPIC

OPIC — the Overseas Private Investment Corporation — is the U.S. insurance and guarantee program that facilitates private capital investment in lesser-developed countries, covering four types of political risk:

Inconvertibility

- Risk the investor can't convert local profits into dollars

Expropriation

- Risk the host government seizes the firm's assets

War

- Physical and financial loss from armed conflict

Business Income Loss

- Lost income resulting from political strife

Example: currency controls block conversion → inconvertibility; nationalization of the plant → expropriation; civil conflict halting production → war / business income loss.

Operating Strategies After the FDI Decision

Agreements get revised as conditions change — a firm that clings to the letter of its original deal often finds the host government applying pressure in areas the agreement never covered. Key levers a firm can adjust:

Local Sourcing

- Building supplier relationships within the host country

Facility Location

- Where plants and offices are physically sited

Transportation Control

- Managing logistics and distribution channels

Technology Control

- Deciding what technology transfers to local operations

Market Control

- Which markets the local operation may serve

Brand & Trademark Control

- Protecting brand identity in the host country

Thin Equity Base

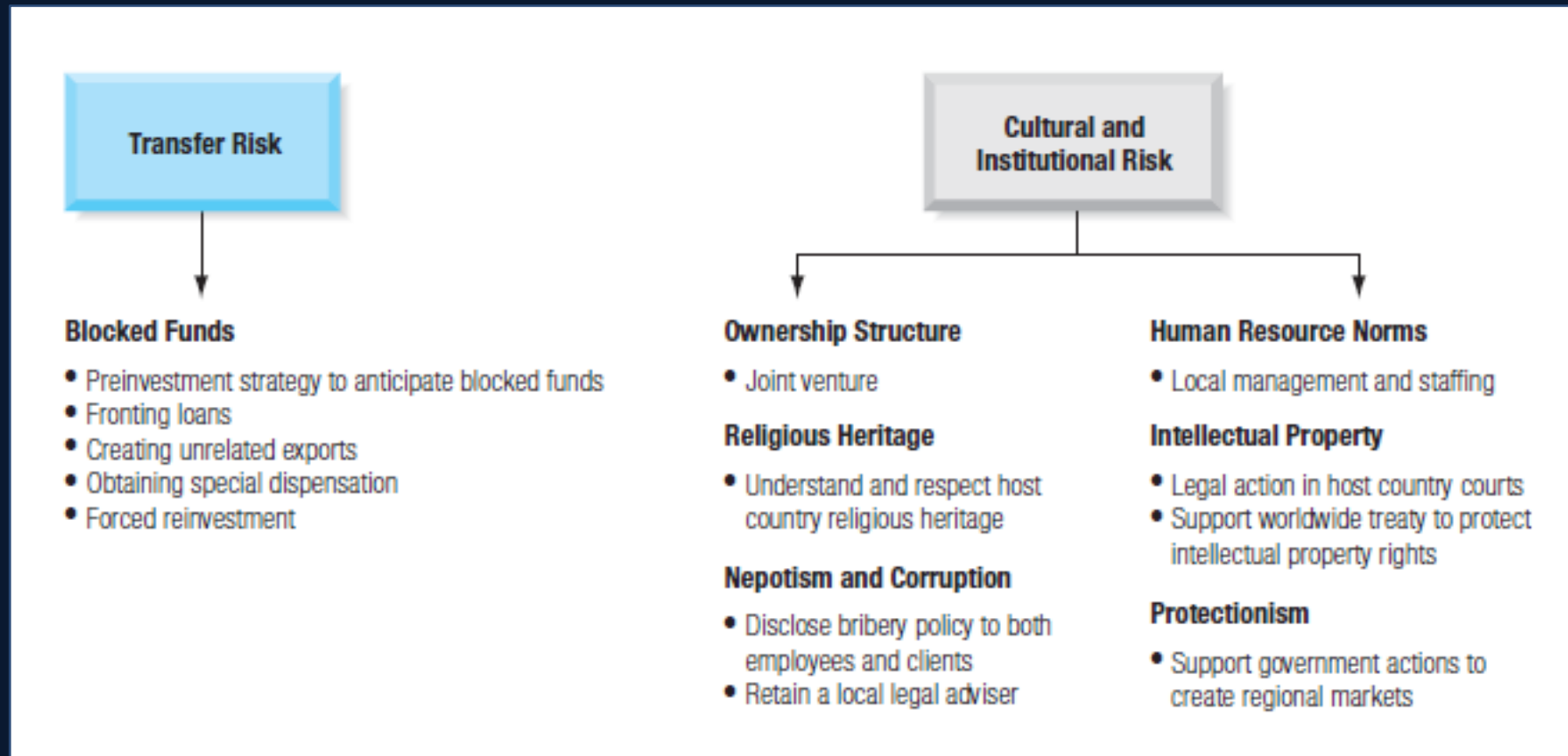
- Financing with more debt, less local equity

Multiple-Source Borrowing

- Spreading financing across several lenders and countries

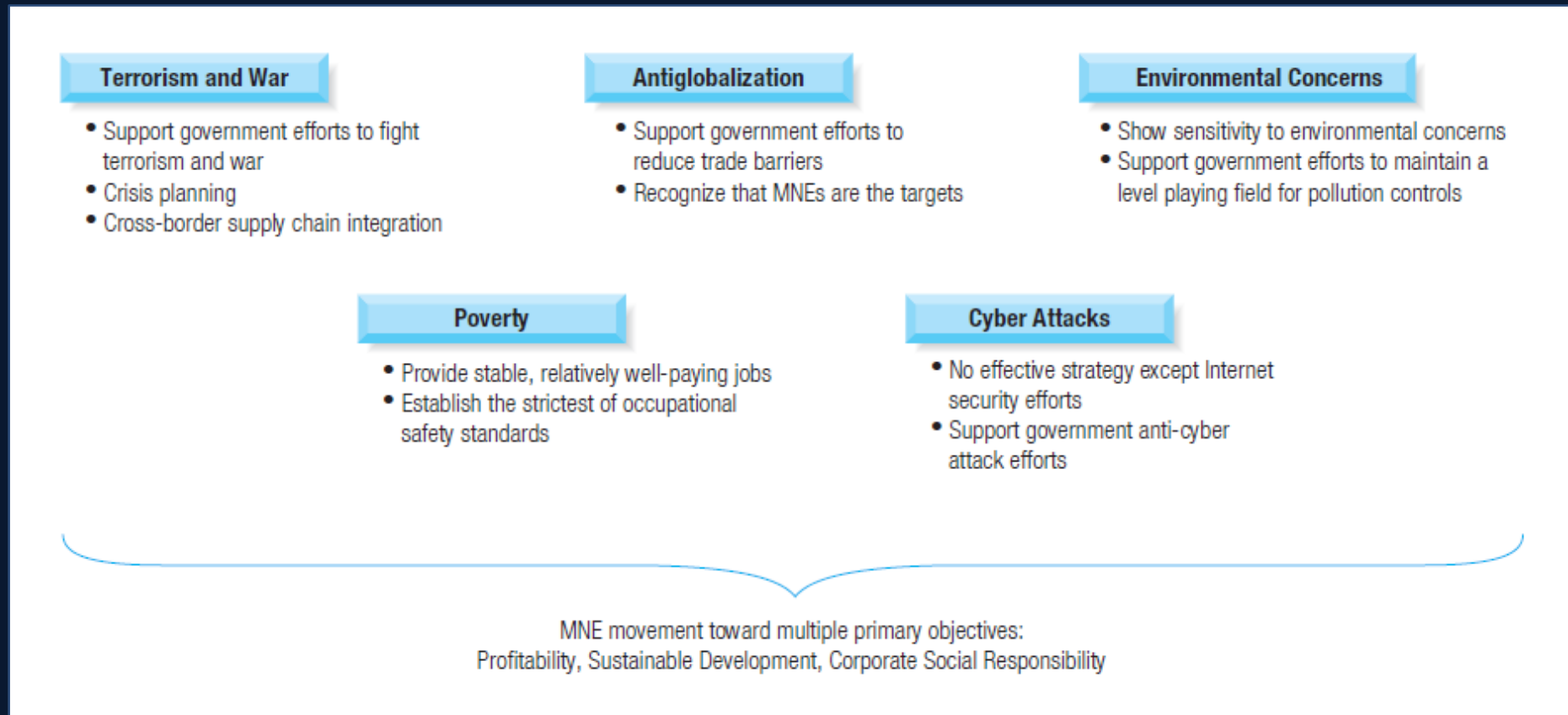
Transfer Risk and Blocked Funds

- Country-specific risks affect all firms — domestic and foreign — resident in a host country; the three main types are transfer, cultural, and institutional risk
- Transfer risk: limitations on the MNE's ability to move funds into and out of a host country without restriction
- Blocked funds: when a government runs short of foreign exchange and can't borrow or attract new investment, it typically restricts transfers of foreign exchange out of the country



Global-Specific Risk

- Global-specific risks faced by MNEs have come to the forefront in recent years — most visibly the September 11, 2001 terrorist attack on the World Trade Center
- Other global-specific risks: the antiglobalization movement, environmental concerns, poverty in emerging markets, and cyberattacks on computer systems
- Underlying response: MNEs are moving toward multiple primary objectives — profitability, sustainable development, and corporate social responsibility



Chapter Recap

PART 1

Advantage & OLI

- Six sources of firm-specific competitive advantage
- OLI: Ownership, Location, Internalization
- Proactive vs. reactive financial strategy

PART 2

Where & How

- Behavioral, sequential location decisions
- Five modes: exporting → wholly owned subsidiary
- Volume/margin, expansion leverage, growth/dividend trade-offs

PART 3

Defining Risk

- Firm-, country-, and global-specific risk
- Macro vs. micro-level assessment
- Prediction gets harder as scope widens

PART 4

Managing Risk

- Governance, agreements, OPIC insurance
- Blocked funds and preinvestment strategy
- Cultural, institutional, and global risk response

KNOWLEDGE CHECK

Final Review

A last check across the whole chapter — could you defend an answer to each of these?

1 Explain, in one sentence each, what the O, the L, and the I stand for — and why a firm generally needs all three for FDI to make sense.

2 A firm is choosing between licensing and a joint venture to enter a new market. What single factor would tip the decision toward one over the other?

3 Classify this risk: a global recession sharply cuts demand for a commodity your MNE exports from several countries. Firm-, country-, or global-specific?

4 Name the four types of political risk OPIC insures against, and give a one-line example of each.

5 What's the practical difference between a preinvestment strategy for blocked funds and an operating strategy adopted after the FDI decision is made?

KEY TERMS

Key Terms

OLI Paradigm — framework explaining FDI via Ownership, Location, and Internalization advantages

Blocked funds — restrictions a host government places on transferring foreign exchange out of the country

Governance risk — the ability to exercise effective control over MNE operations within a host country's legal/political system

OPIC — the U.S. Overseas Private Investment Corporation — insures against inconvertibility, expropriation, war, and business income loss

Firm-specific risk — political risk (micro-level) that affects an individual MNE's operations

Country-specific risk — political risk (macro-level) affecting all firms resident in a host country

Global-specific risk — cross-border risk such as terrorism, antiglobalization, or cyberattacks

Fronting loan — a loan channeled through a third-party bank to help move blocked funds out of a host country

End of Chapter 17

Foreign Direct Investment and Political Risk